BUSINESS ANALYSIS & VALUATION REPORT

2026

PREPARED BY:

SUYASH MANDHANA

*Report prepared for educational purpose only

Index

Sr. No.	Particulars	Page No.
1.)	Company Overview	2
2.)	Economy Overview	3-4
3.)	FMCG Sector in India	5
4.)	HUL's Growth Story	6
5.)	Financials	7-14
6.)	Valuation	15-17
7.)	Weighted Average Cost of Capital	18
8.)	Beta	19
9.)	Management Commentary & Insights	20
10.)	Sources, Acknowledgement & Disclaimer	21

Company Overview

Introduction

Hindustan Unilever Limited (HUL), a subsidiary of Unilever PLC, is India's largest fast-moving consumer goods (FMCG) company, with a history spanning over 90 years. HUL originated from Lever Brothers' soap imports in 1888. Officially incorporated in 1933 as Lever Brothers India Limited, it merged with other subsidiaries in 1956 to become Hindustan Lever Limited, later rebranding to Hindustan Unilever Limited in 2007.

Business Presence

The company maintains market leadership in more than 85% of the categories in which it operates, including Home Care, Beauty & Wellbeing, Personal Care, and Foods. HUL's distribution network reaches approximately 9 million retail outlets, and its products are used by 9 out of 10 Indian households. The company's operations are primarily concentrated in the Indian market, although it maintains a presence in 61 countries through exports.

Key Products/Brands

Hindustan Unilever Limited (HUL) has a massive brand portfolio Here's a breakdown of their key products and brands:

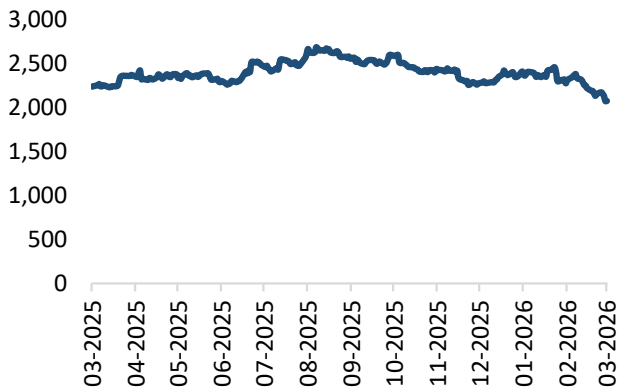
Home Care - Surf Excel, Rin, Comfort, Wheel, Sunlight, Vim, Domex, Cif.

Beauty & Wellbeing - Clinic Plus, Sunsilk, Dove, TRESemmé, Love Beauty & Planet, Indulekha, Nexxus. Glow & Lovely, Vaseline, Pond's, Lakmé, Simple, Elle 18, Novology, Minimalist. Liquid I.V., OZiva.

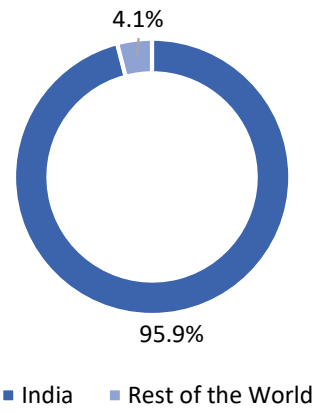
Personal Care - Axe, Closeup, Hamam, Lux, Lifebuoy, Liril, Moti, Rexona, Pears, Pepsodent, Dove, VWash.

Foods & Refreshment - Brooke Bond, Bru, Lipton. Boost, Horlicks.
Hellmann's, Kissan, Knorr.

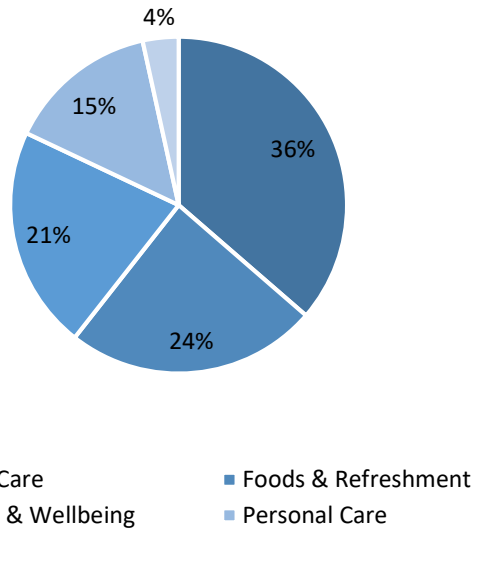
Stock Price (1Y- Historical)



Location - Wise Break up



Revenue by Segment (FY 25)



54

Brands

19

Brands > INR 1,000 Cr

Economy Overview

Global Economy

The global economy grew about 2.8% in 2025, navigating geopolitical tensions, trade uncertainty, and the delayed effects of tight monetary policy. Central banks like the Federal Reserve and European Central Bank began cutting rates, signalling easing inflation pressures, while China rolled out strong fiscal stimulus to counter deflation and a weak property market. These mixed policy moves influenced commodity prices and emerging-market currencies.

Commodity Split

The FMCG commodity landscape has been mixed. Tea and coffee prices have surged—coffee alone rose about 70% over two years—while palm oil remains costly, making up a significant share of HUL's inputs. On the brighter side, crude oil, soda ash, and skimmed milk powder have softened. This uneven trend has made it difficult for companies to implement broad price hikes, pushing them instead toward more targeted, category-specific pricing.

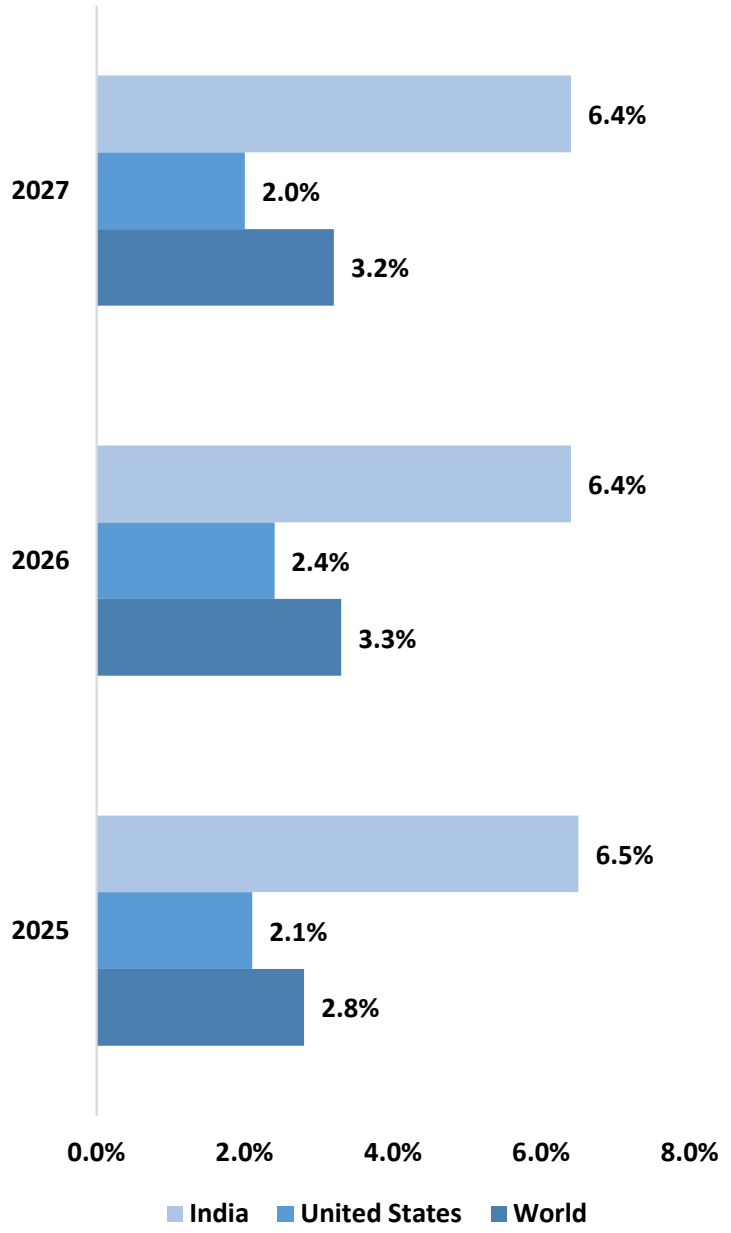
Trade & Geopolitics

Ongoing Red Sea disruptions pushed up logistics costs, while uncertainty around US tariffs dampened global trade sentiment. India's exports saw modest growth, with services staying strong. For Hindustan Unilever, the direct impact was limited due to its largely domestic focus, but higher input and packaging costs were felt. Meanwhile, new trade agreements, including one with the United Kingdom, offer some medium-term optimism.

Outlook

The global economy in 2026 is expected to remain subdued. However, lower energy prices, easing inflation across major economies, and monetary accommodation should gradually support a recovery in consumer spending, a tailwind for FMCG demand in the medium term.

Global GDP Growth Predictions



3.3%
Global GDP Growth (2026 Proj.)

Divergent
Commodity Price Trends

Easing
Global Inflation Trajectory

Elevated
Geopolitical Uncertainty

Economy Overview

Indian Economy

India's economy grew a strong 7.4% in FY2025–26, up from 6.5%, driven by consumption and government spending. The Reserve Bank of India called it a "Goldilocks" phase, with high growth and low inflation. CPI inflation fell sharply before inching up slightly, helped by declining food prices, while the repo rate was cut to 5.25% to support growth.

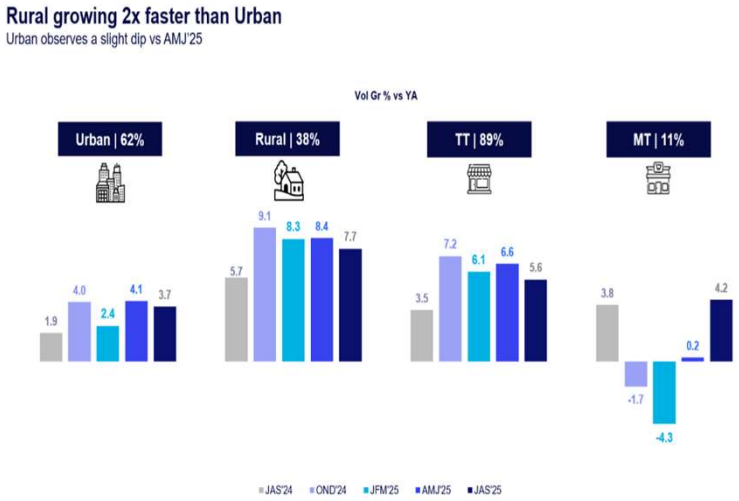
Recovering
Rural Demand Trend

4.6%
Retail Headline Inflation (FY25)

INR 11L Cr
Govt Capex
(3.4% of GDP)

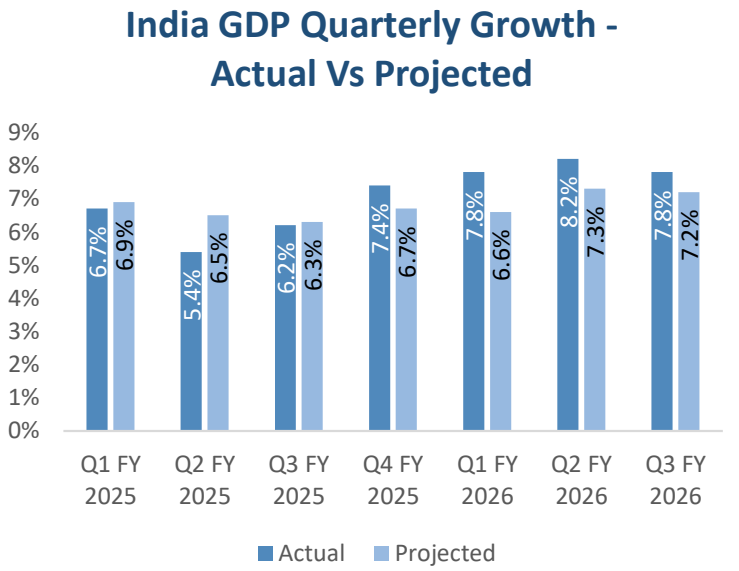
Rural-Urban Consumption Dynamics

Rural demand has been the biggest driver for FMCG companies, outpacing urban markets for eight consecutive quarters through December 2025 (NielsenIQ). In Q2 2025, rural volumes grew 8.4% vs 4.6% in urban areas. By Q4 2025, the gap narrowed (2.9% vs 2.3%) as urban demand began recovering, supported by metro consumption revival, GST rationalisation, and income tax relief. Urban consumers, however, continued preferring smaller pack sizes, indicating cash-flow management rather than brand switching.



Digital Commerce Acceleration

E-commerce now accounts for 6% of urban FMCG sales nationally and 14–18% in metro cities. Quick commerce, contributing over three-fourths of FMCG e-commerce sales, remains the key growth driver. In Q2 2025, metro e-commerce volumes surged nearly 40%, while traditional trade declined, with southern metros leading at 21%+ share. The GST 2.0 rationalisation (September 2025) impacted about 11.4% of the CPI basket, briefly disrupting traditional trade but favouring organised channels that adjusted pricing faster.



Outlook

India's economy is projected to grow 6.5% in FY2026–27(RBI), supported by good monsoons, benign inflation, strong services exports, and the lagged benefits of GST reforms and tax relief. Private consumption, the key driver of FMCG demand, is improving, with steady rural demand and gradual urban recovery.

FMCG sector in India

India's FMCG sector recorded 13.9% value growth in Q2 2025, moderating to 12.9% in Q3 and 7.8% in Q4 (impacted by GST 2.0 transition). The sector contributes approximately 3% to GDP, employs 3 million people, and spans 496 million consumers. Non-food categories (household and personal care) contribute roughly 50% of sales and carry higher margins, making them the primary beneficiaries of premiumisation.

Market Sizing

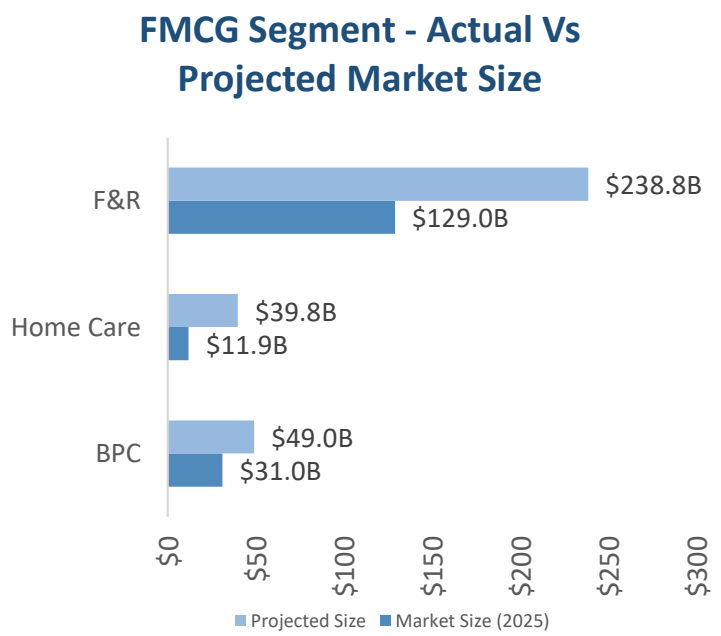
Beauty & Personal Care: ~$31B market (2025), expected to reach $40–49B by 2030–34. Growth driven by e-commerce and quick commerce (≈39% growth). India's per-capita BPC spend remains far below global peers, indicating strong headroom.
Home Care: ~$10B market (FY25). Premium categories (fabric conditioners, liquid dishwash) are growing double-digit, while mass detergents remain largely mature.
Foods & Refreshment: ~$120B market (2025) growing steadily, led by Tier-2/3 packaged food adoption. Tea and coffee face commodity inflation pressures.

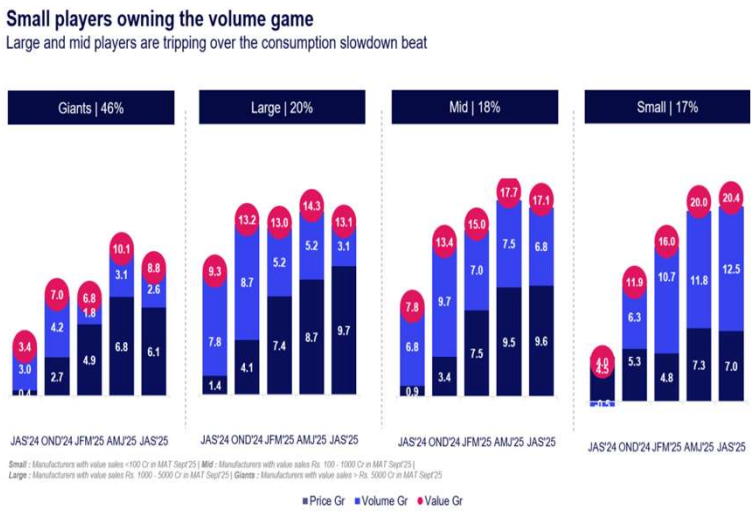
Competitive Dynamics

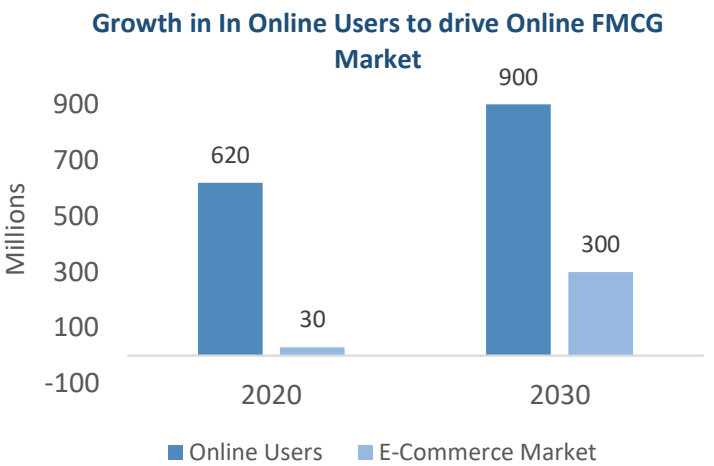
NielsenIQ data shows smaller manufacturers consistently outpacing large FMCG players in volume growth, supported by rural demand, lower bases, and aggressive regional pricing. In Q3 2025, large players saw a slowdown while smaller players sustained growth, intensifying competition for incumbents like HUL, especially in mass and value segments.

Channel Evolution

General trade (~70% of HUL sales) is gradually losing share to modern trade and e-commerce (~25%). Quick commerce now accounts for over three-fourths of FMCG e-commerce sales. Modern trade saw strong acceleration in Q4 2025 post-GST 2.0, adapting pricing faster than traditional trade. The structural shift toward digital and organised channels is expected to continue.



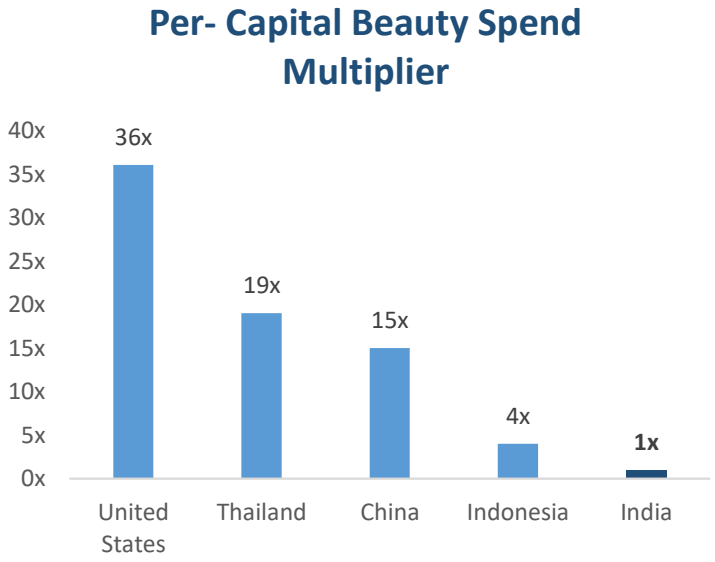




HUL's Growth Story

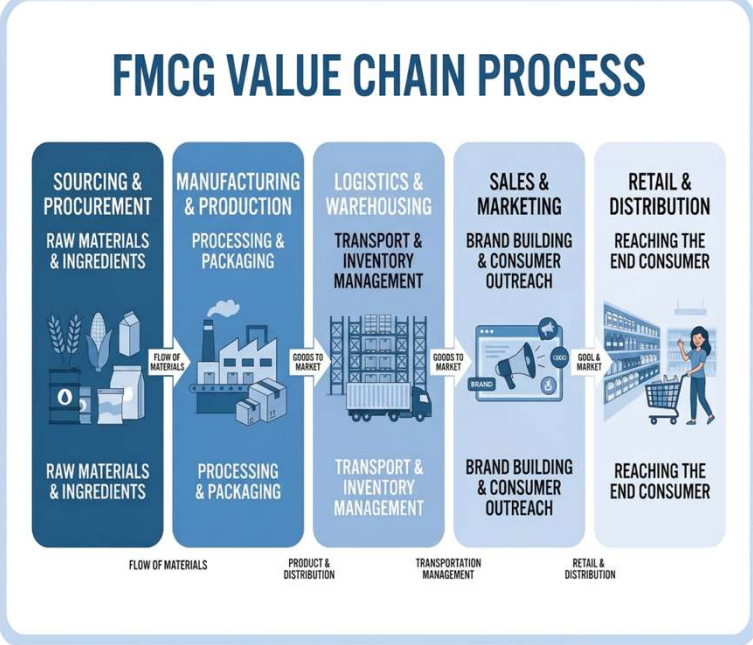
The Premiumisation Playbook

HUL has set an explicit **target of 900 basis points of portfolio shift towards premium. HUL is Strategically making a shift to fewer and bigger bets.** The premium portfolio is growing at 2.5x the rate of mass. **India's per-capita beauty spend (1x) versus China (15x), Thailand (19x), and the US (36x) offers massive headroom**. Across segments, premiumisation takes distinct forms: in Fabric Care, consumer transition from bars to liquids and pods (Smart Shots); in BPC, upgrading from mass bars to Dove/Pears and conversion to bodywash; in Foods, premium launches like Bru Freeze Dried Coffee and Knorr Korean Meal Pots. The Premium Beauty Business Unit (PBBU), incubated three years ago, has crossed INR 100 Cr ARR in two brands, demonstrating digital-native brand-building capability.



Distribution: The Enduring Moat

28 owned factories, 50+ manufacturing partners (three WEF Lighthouse Factories), 9mn+ retail outlets, 3,500+ distributors, 200,000+ Shakti Ammas in rural India. The Shikhar B2B platform covers 1.3mn+ stores. ONDC integration is enabling kiranas to sell via buyer apps. WiMi 2.0 focuses on micro-market segmentation across India's diverse consumption clusters. Management has described this as "kirana-centric, distributor-inclusive" digital transformation. No competitor has replicated this depth of reach.



Innovation & Big Bets

Product superiority tripled since 2019. **Six Big Bets in Beauty** (sun care, face cleansing, masstige, serums, conditioners, premium hair care) represent INR 2,000 Cr growing at strong double digits. **Stratos technology** in soaps replaces palm oil with polysaccharides and skin actives, though volume benefits remain deferred. AI-powered beautytech (Lakme, Pond's skin-regime tools) and nutritech (Horlicks personalised diagnostics) are driving digital engagement and premiumisation.

Financial Trajectory

FY2025 revenue grew 2% (volume +4%, offset by negative pricing). FY2026-30E revenue CAGR of ~8.9%. EBITDA margins compressed near-term to 23% as **A&P spending increased** >INR 400 Cr YoY, partly defensive against rising competitive intensity. **Three margin levers: better mix, NRM** (price-pack optimisation), **and net productivity**(supply chain cost reduction). Cash conversion cycle of -82 to -84 days. Debt/Equity under 5%. **DCF fair value of INR 1,728-1,832 per share versus CMP of ~INR 2,158.**

Financials

Revenue

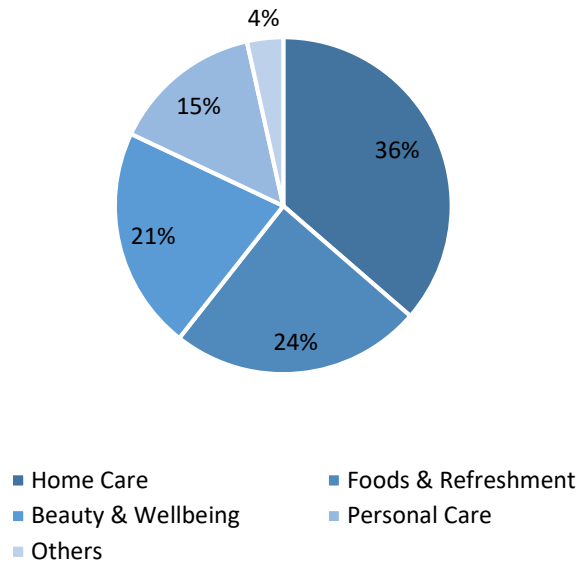
HUL reported revenue of INR 63,121 Cr in FY2025, with revenue growing at a 3-year CAGR of 6.4% and 5-year CAGR of 9.7%. Growth slowed significantly in FY24–FY25 (2.1% and 2.0%) due to negative price growth as commodity deflation in Home Care and BPC was passed on to consumers, while inflation in tea and coffee weighed on margins. Despite this, volume growth improved from 2% in Q3 FY25 to 4% in Q1 FY26, indicating a recovery in underlying demand.

Revenue forecasts are built bottom-up at the segment level. Home Care (36.4% of FY25 revenue) is assumed to grow 11% YoY, supported by premiumisation (shift from bars/powders to liquids and formats like Smart Shots) and a household care market CAGR of ~9–15%. Beauty & Wellbeing (21.4%) is projected at 13% YoY, the fastest-growing segment, supported by strong growth in categories such as sun care, face cleansing, and serums under HUL's "6 Big Bets". Foods & Refreshment (24.2%) is assumed at 6% YoY, reflecting a recovery after flat growth in FY25 amid high coffee inflation and weak health food drink demand. Personal Care (14.5%) is also modeled at 6%, while Others (3.5%) grows at 2%.

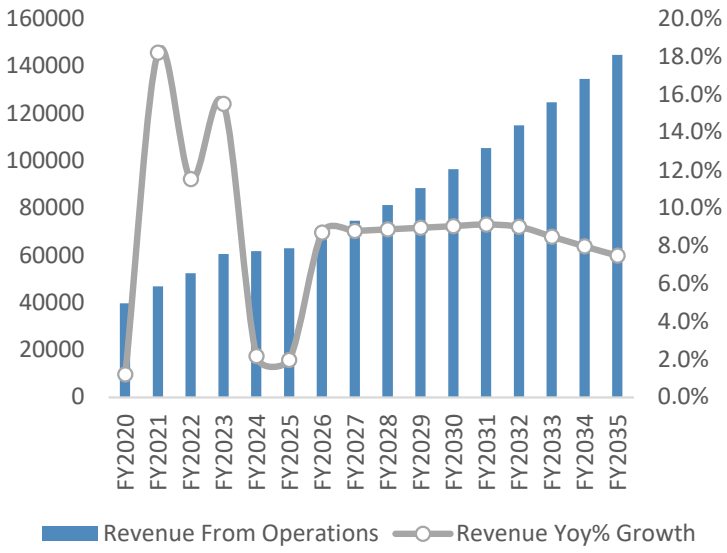
These assumptions imply a consolidated revenue CAGR of ~8.7% for FY26–FY30. Street estimates (Trendlyne) project FY26 revenue of INR 63,711 Cr (0.9% growth) and FY27 at INR 69,018 Cr (8.3%). Our FY26 estimate of INR 68,611 Cr is higher than consensus, reflecting a faster recovery in volumes. However, if pricing remains negative or demand recovery slows, this estimate could prove optimistic.

Other Income is assumed constant at INR 1,017 Cr (FY25 actual) across the forecast period, given its historical volatility (0.5–1.6% of revenue) and the absence of clear management guidance.

Revenue by Segment (FY 25)



Revenue Over the Years



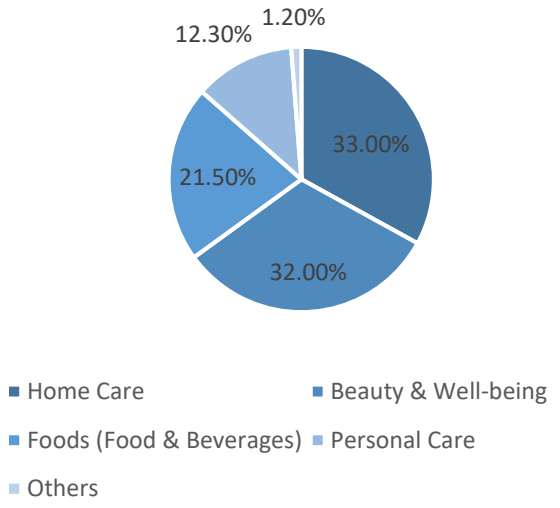
Gross Margins

HUL's gross margin stood at 51.6% in FY2025, recovering from a trough of 47.6% in FY2023 when commodity inflation peaked across the input basket. Over FY2019–FY2025, gross margins averaged 51.7% (median 51.9%). The FY23 compression was driven by a spike in palm oil (15–20% of raw material costs), tea, and coffee, which management partly absorbed instead of taking full price hikes to protect volumes.

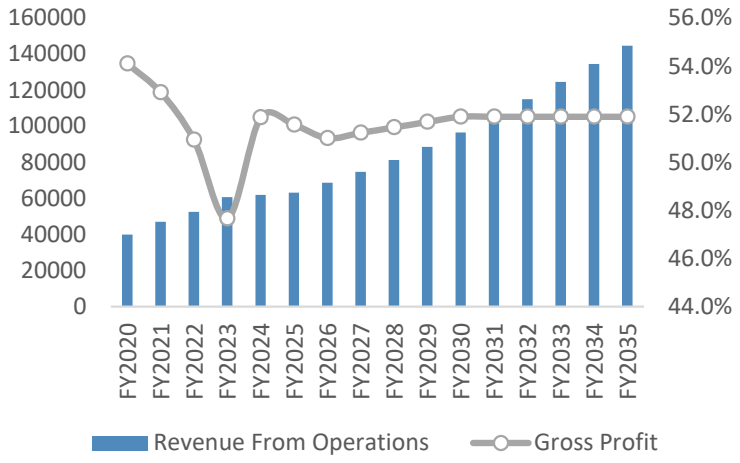
We forecast gross margins expanding from 51.0% in FY26E to 51.9% by FY30E, implying ~22.5 bps annual improvement. The 51.0% FY26 starting point is conservative relative to street estimates, where ICICI Direct, Motilal Oswal, Anand Rathi, and Deven Choksey imply an average of ~51.1%. Damodaran's India FMCG sector gross margin is 52.6%, while the global FMCG benchmark is 51.7%. Among peers, Dabur operates at 62%, Godrej Consumer and Marico at ~55%, and Tata Consumer at ~51%, placing HUL toward the lower end of the peer set due to structurally lower-margin categories like detergents and tea.

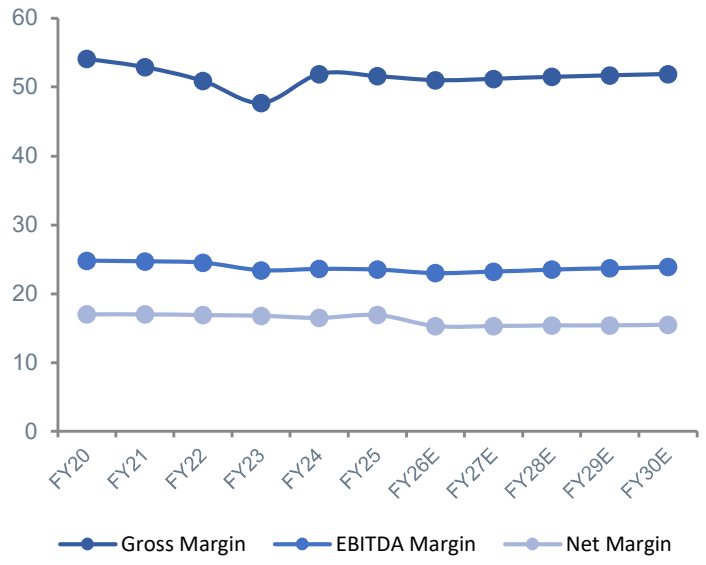
Margin expansion is supported by three levers highlighted by management: premiumisation (premium portfolio growing ~2.5× faster than mass), Net Revenue Management (NRM) through price-pack optimisation, and supply chain productivity improvements. Management has guided to a 49–51% gross margin band; our base case begins at the upper end and expands modestly over the forecast period, supported by premiumisation but exposed to commodity risks in palm oil, tea, and coffee. A 100 bps margin miss would imply roughly INR 690 Cr EBITDA impact at FY26 revenue levels.

Operating Profit (FY 25)

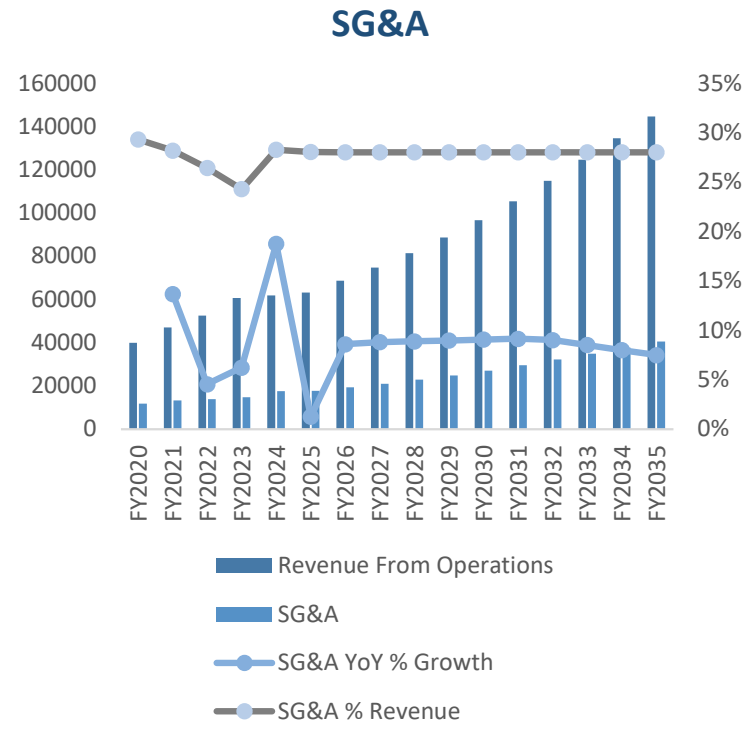


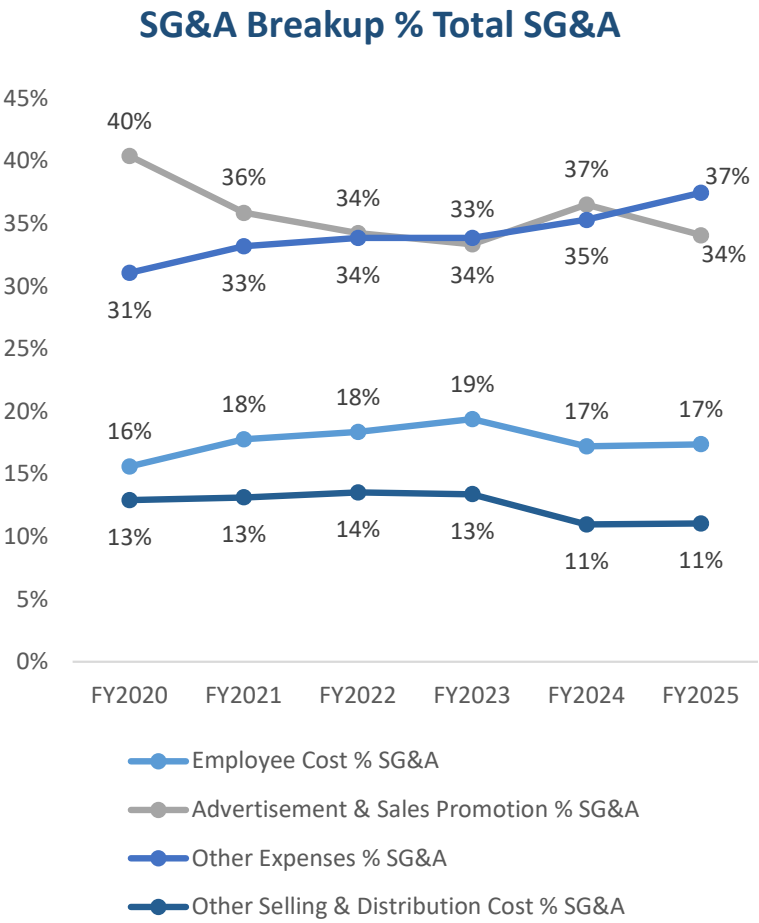
Gross Profit





Selling, General & Administrative Expenses





SG&A expenses stood at INR 17,692 Cr in FY2025 (28.0% of revenue). Over the last five years, SG&A as a percentage of revenue has ranged from 24.3% (FY23) to 29.3% (FY20), with the FY23 low reflecting tight cost management during commodity inflation and relatively muted A&P spending. The rise to 28.2% in FY24 was driven by a deliberate INR 400+ Cr increase in Advertising & Promotion, partly defensive to match competitor spending and partly strategic to support premiumisation and innovation.

We model SG&A as two components held flat as a percentage of revenue: Employee Benefit Expenses at 4.8% and Other Expenses at 23.2%. The employee cost assumption sits at the historical median (4.6–5.0%) over FY20–25 and reflects disciplined workforce management; employee costs also declined 7% YoY in Q1 FY26, indicating ongoing optimisation. Other Expenses, which include A&P (historically 35–39% of SG&A), selling & distribution, and overhead, are assumed in line with FY25 actuals and the 5-year median.

The key risk is A&P intensity, as competitive pressure from both large peers and smaller regional/D2C brands is rising (NielsenIQ data shows smaller players consistently outpacing large companies in volume growth). Our flat-percentage assumption implies that while A&P remains elevated, it does not escalate further and is partly offset by efficiencies elsewhere.

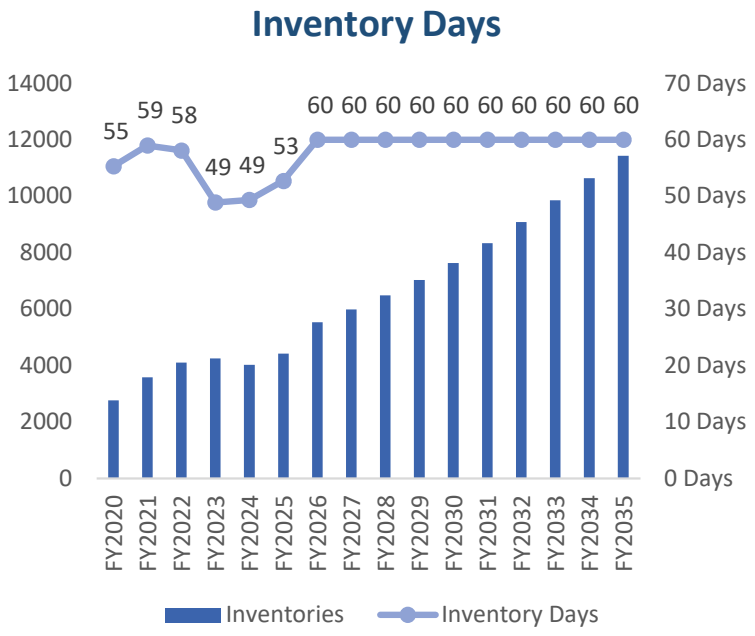
This results in an EBITDA margin of 23.0% in FY26E expanding to 23.9% by FY30E, below the FY20–22 range of ~24.5–24.8% but consistent with management's current "invest for growth" phase.

Current Assets

Inventories

HUL's inventories were INR 4,415 Cr in FY25 (~20% of current assets). **Inventory days (COGS basis) declined from 77 days in FY16 to 57 days in FY25**, reflecting supply chain improvements and the rollout of the Supply Chain Nerve Centre for demand forecasting. Peer comparisons vary widely—ITC at 178 days, Marico at 93 days, and Britannia at 43 days—placing HUL broadly mid-range within its peer set.

Street estimates (ICICI Direct, Bobcaps, Axis Direct) expect inventory days to remain stable at 23–26 days on a revenue basis (~47–50 days on COGS). **We assume 60 days on a COGS basis**, slightly above street estimates, reflecting premiumisation (higher per-unit inventory values) and the need to service 9mn+ retail outlets. Additionally, the planned INR 2,000 Cr capacity expansion in FY27–28 could temporarily increase raw material and WIP inventories during commissioning.

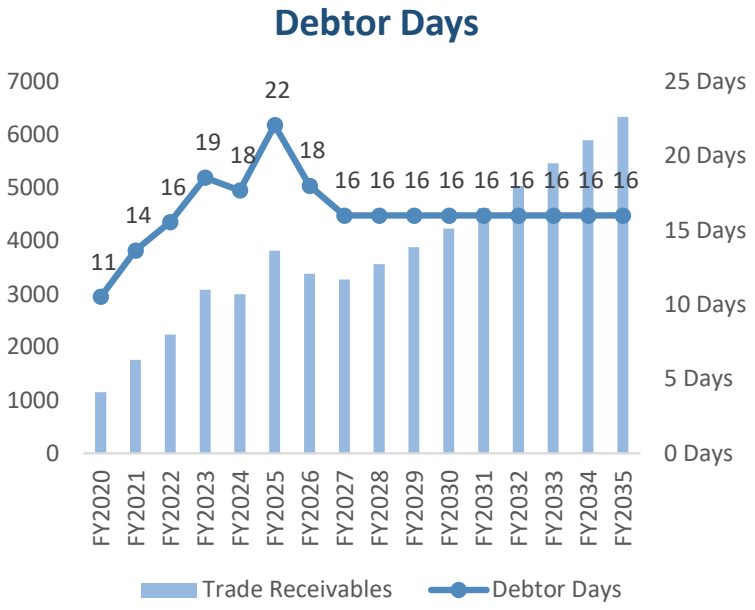


Trade Receivables

Trade receivables were INR 3,819 Cr in FY25, up 27% YoY, with **debtor days rising from 17.7 to 22.1 days**, the highest level in recent history. Historically, HUL operated at 10–18 days, consistent with its distributor-led model where collections occur within 2–3 weeks.

Receivables quality remains strong: 84% are current and only 1.8% are doubtful, suggesting the increase reflects timing or channel mix shifts rather than credit deterioration. Peer debtor days average ~20–22 days (ITC 23, Marico 43, Britannia 9).

Street estimates (ICICI Direct, Bobcaps) expect normalisation to 16–18 days by FY27–28. **We assume 18 days in FY26 and 16 days from FY27 onward, as distributor credit terms tighten after the FY24 channel reorganisation**. However, increased Q-commerce and modern trade exposure could delay this normalisation.

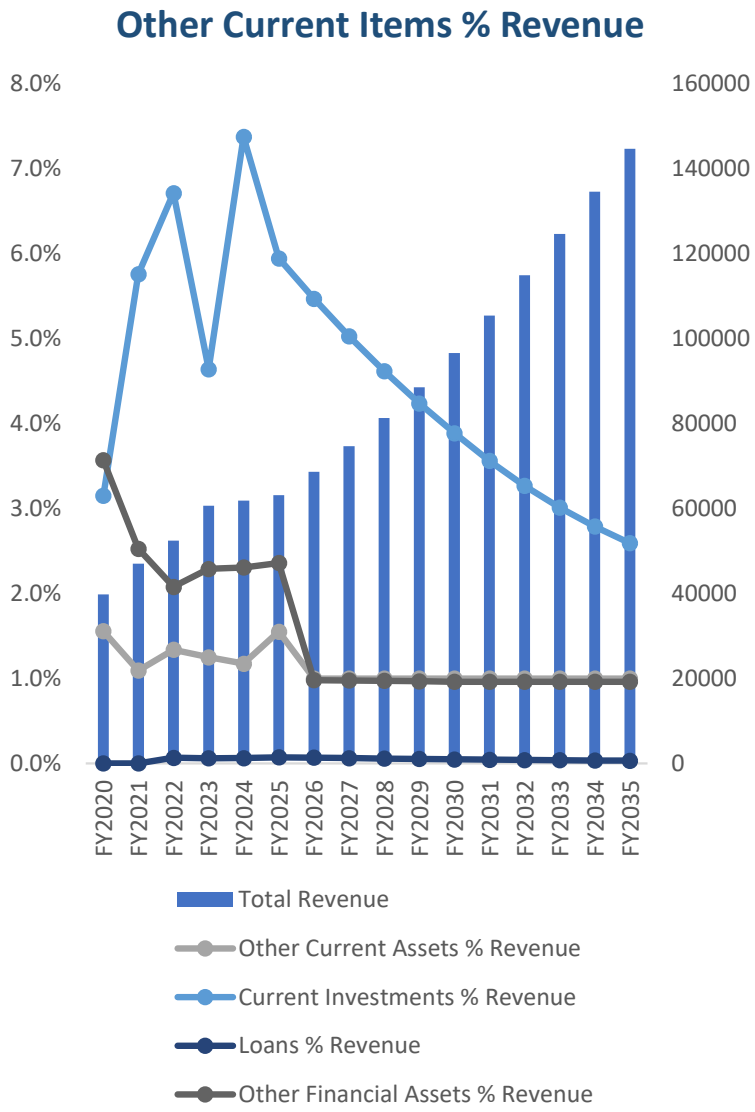


Other Current Assets

OCA (excluding investments, loans, & financial assets) stood at INR 978 Cr in FY25. Historically, OCA has ranged between 1.0% and 1.8% of revenue (FY16–FY25), with an average of 1.4%. **We assume 1% of revenue going forward, at the lower end of the historical range and consistent with the declining trend since FY22**. This line mainly includes prepaid expenses, advances to suppliers, and balances with government authorities, which are not expected to scale disproportionately with revenue.

Current Investments

Current Investments were INR 3,751 Crores in FY25, down from INR 4,558 Crores in FY24. These represent short-term deployments in mutual funds and fixed deposits that management uses for treasury management. As a percentage of revenue, Current Investments have been volatile (3.1–7.4%), reflecting opportunistic deployment rather than structural requirements. **We hold Current Investments flat at INR 3,751 Crores (FY25 actual) throughout the forecast, as changes in this line item are a treasury decision with no direct operational linkage.** Any excess cash generated is expected to flow through to Cash and Cash Equivalents rather than be redeployed into short-term investments.



Loans & Other Financial Assets

Short-term Loans were INR 46 Crores in FY25, a marginal line item (0.07% of revenue). These **are held flat at FY25 levels**. Other Current Financial Assets were INR 1,488 Crores in FY25, comprising primarily interest accrued on deposits and derivative financial instruments. As a percentage of revenue, this item has ranged from 1.5% to 3.6%, with a median of 2.3%. **We model Other Financial Assets at 2% of revenue, slightly below the median, reflecting our expectation that as HUL's derivative positions and inter-company receivables normalise, this line will stabilise at a lower share of revenue.** Bank Balances (term deposits with banks) are held flat at INR 1,484 Crores.

Short-term borrowings (INR 1 Cr in FY25) are assumed to decline to zero, as they have been on a clear downward trend from INR 98 Cr in FY23 and are not a structural financing need for HUL.

Current Liabilities

Other Current Liabilities

OCL—comprising Other Financial Liabilities, OCL, Provisions, and Current Tax Liabilities—are held flat at FY25 levels throughout the forecast. This is consistent with the approach noted in the assumptions worksheet: these items are not operationally driven by revenue and tend to remain stable year-on-year.

Trade Payables

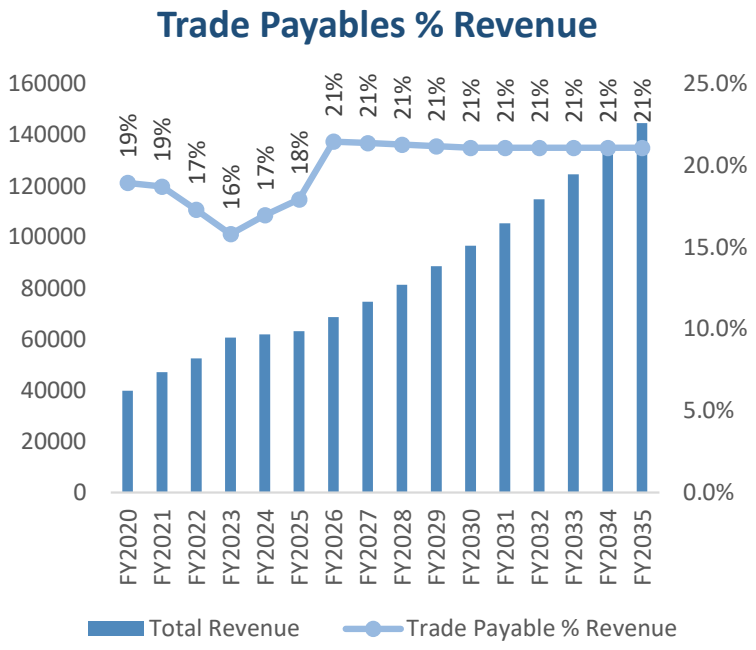
Trade payables stood at INR 11,315 Crores in FY25, the single largest current liability item. **Creditor days (COGS basis) were 152 days in FY25, within a range of 123–185 days over the last decade.**

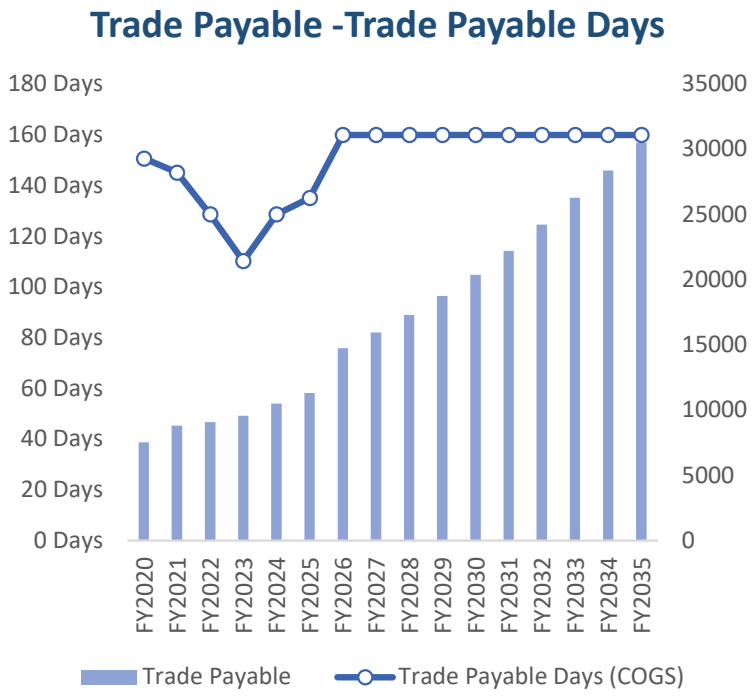
HUL consistently operates at the highest creditor days among FMCG peers—Marico at 103, ITC at 55, and Britannia at 60—reflecting its dominant bargaining position with suppliers.

Street estimates from ICICI Direct and Bobcaps project 60–65 days on a revenue basis (consistent with our COGS-based assumption).

We assume 160 days on a COGS basis, which implies a further extension of supplier payment terms beyond the FY25 actual of 152 days. **This is the most aggressive working capital assumption in the model.** While HUL's market power supports extended terms, the 160-day assumption pushes beyond the historical peak and **may face resistance from smaller suppliers**.

Management has provided no concrete guidance on payable terms. **The resulting Cash Conversion Cycle of -84 days (versus -60 in FY25) is a significant improvement and a key driver of free cash flow in the forecast.**





Tax, Debt & Dividends

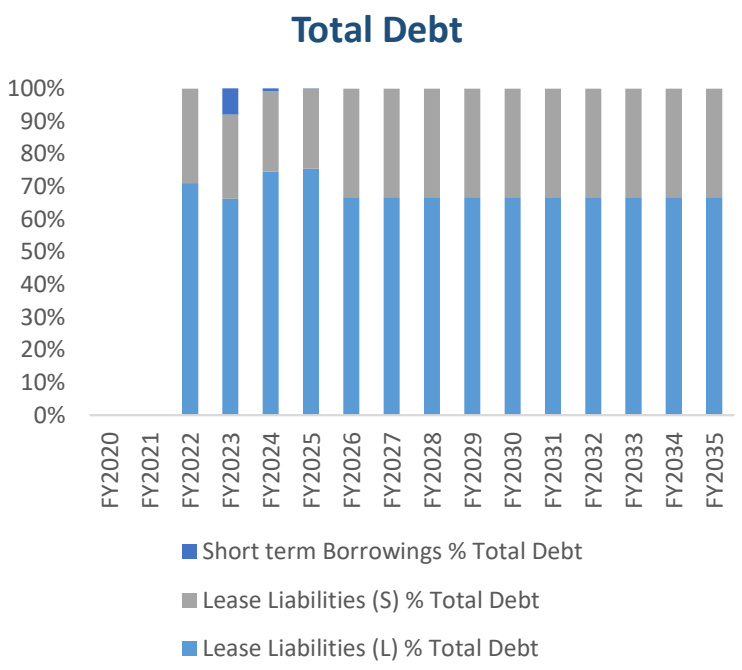
Corporate Tax Rate

A flat 30% marginal tax rate is assumed across the forecast period. HUL's effective tax rate has ranged from 24–26% historically, but 30% includes cess & Surcharge too.

Dividend Payout

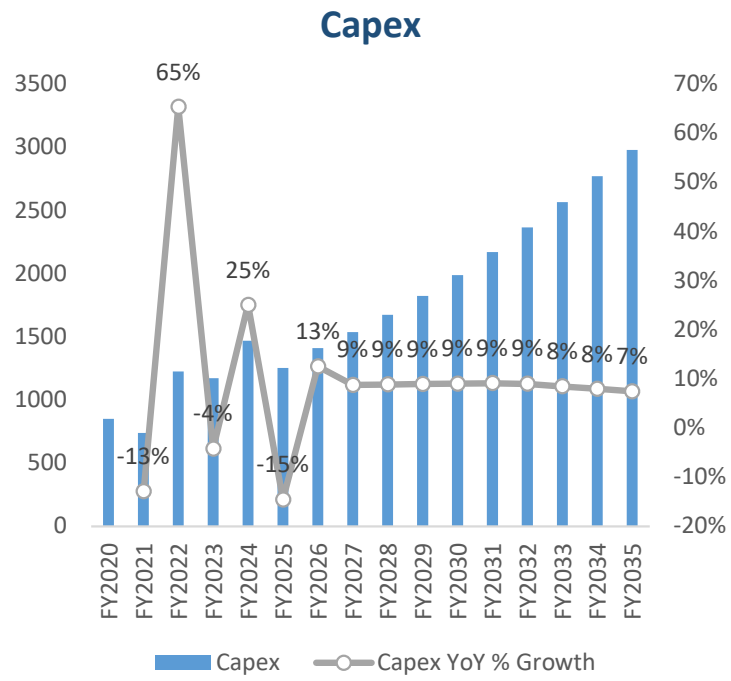
Dividend payout is forecast to increase gradually from 90% (FY26) to 98% (FY30). HUL's historical average payout ratio is 92%, and recent years have seen payouts of 96% (FY24) and 117% (FY25, which included a special dividend component).

The 90–98% range reflects a slight reinvestment bias during the high-growth premiumisation phase, though as the model builds cash on the balance sheet (from INR 6,070 Cr in FY25 to INR 11,720 Cr by FY30), the market may expect higher distributions or buybacks.



Debt

HUL operates with minimal financial leverage. **Total debt in FY25 was INR 1,648 Cr, comprising primarily Ind AS 116 lease liabilities, representing a D/E ratio of just 3.3%. Lease liabilities (long-term) are forecast at 2% of revenue** and **short-term lease liabilities at 1% of revenue**, consistent with the historical median. Short-term borrowings, which stood at just INR 1 Cr in FY25, are assumed to decline to zero. **The interest rate on lease liabilities is 7.74%**, sourced from the company's financial disclosures. Total interest cost is forecast to decline from INR 395 Cr (FY25) to INR 267 Cr (FY26) as the residual borrowing component falls away.



Fixed Assets, Capex & Depreciation

Capex

HUL's net tangible and intangible fixed assets (excluding goodwill and brand rights) stood at INR 8,260 Crores in FY25 on a depreciable basis. The company operates 28 owned factories and 50+ manufacturing partners, three of which are World Economic Forum Lighthouse Factories. **Capex as a percentage of revenue has averaged approximately 2.0% historically**. In FY25, the company spent INR 1,254 Cr on capital expenditure, and **management has announced a INR 2,000 Cr capacity expansion programme across FY27–28 at multiple locations**. Street estimates (consensus) project capex of INR 1,291–1,325 Cr per annum.

Depreciation

Depreciation is calculated through a **PPE roll-forward schedule based on the depreciable gross block** (excluding goodwill, brand rights, and land). The average useful life of HUL's asset base is approximately 15 years (historical median), with approximately 41% of asset value already depreciated, suggesting the asset base is mid-life with no near-term replacement cliff.

Fixed Assets

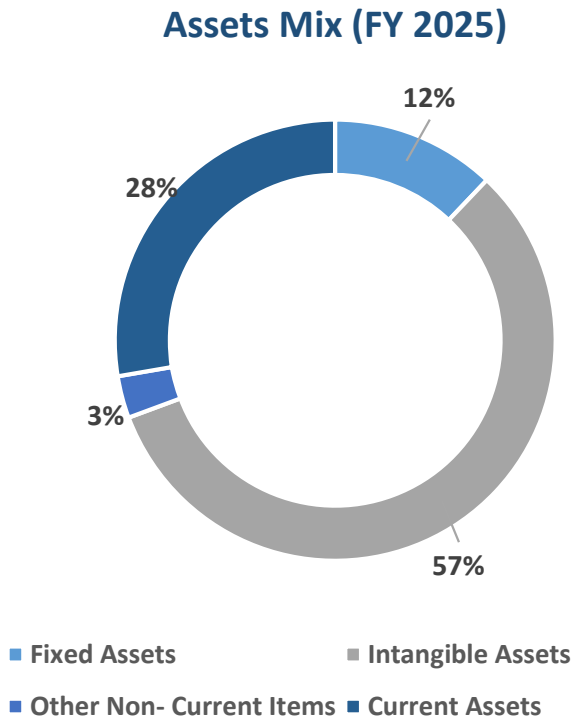
PPE growth is forecast at 19.6% in FY26, tapering to 14.5% by FY30 as the capacity expansion programme is absorbed.

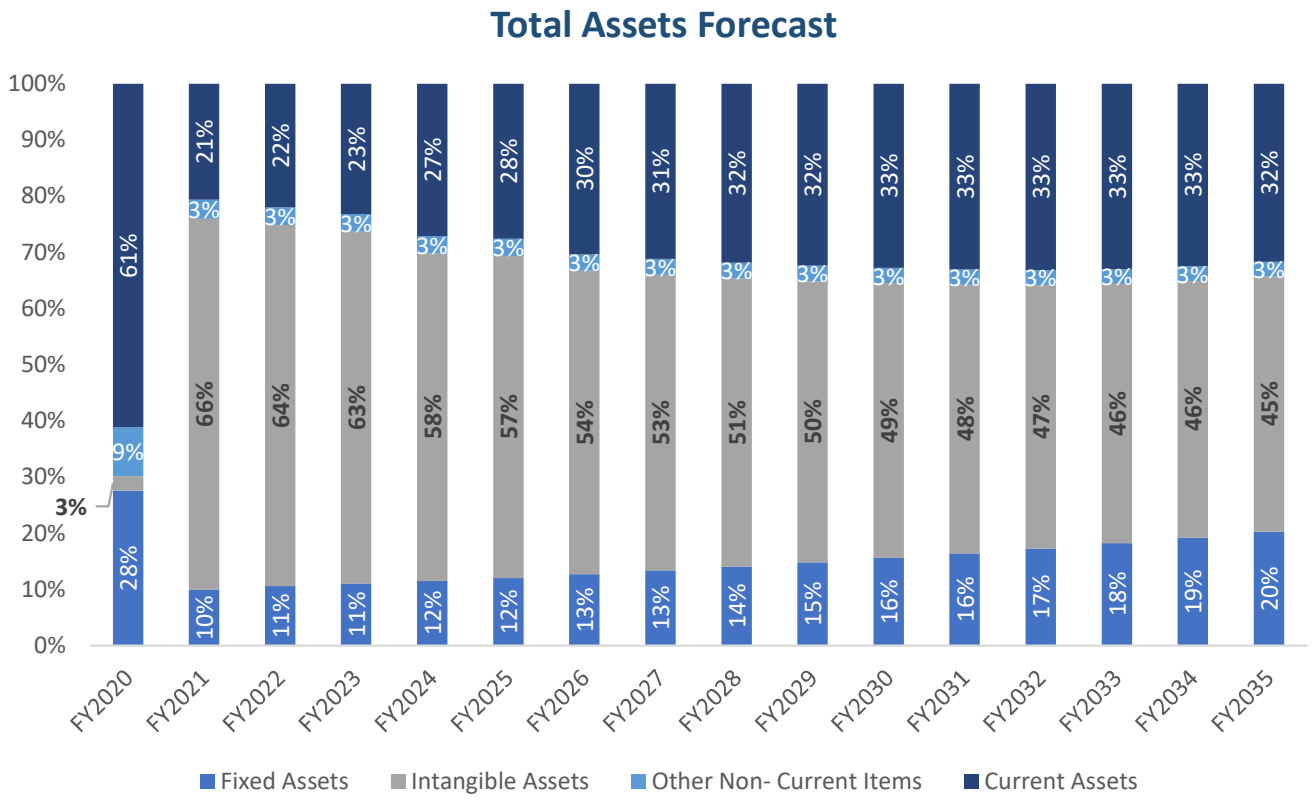
Capex as a percentage of revenue averages approximately 2.1% across the forecast, consistent with the historical average and the announced investment programme.

Capital Work-in-Progress is forecast to grow at 2% YoY, reflecting moderate ongoing projects consistent with the historical median of CWIP at 2% of net fixed assets.

Intangible Assets

Goodwill (INR 17,466 Cr) and Brand Rights (INR 28,413 Cr) are held constant—approximately 98% of HUL's intangible assets have indefinite useful lives and are not amortised but tested annually for impairment.





Valuation

Objective

The objective is to reach the intrinsic value of HUL's stock. The analysis aims to assess the company's worth, based on its ability to generate cash flows, future growth, and the risk associated with the business. We have carefully considered management's guidance while performing this analysis.

Valuation Methodology

There are primarily three approaches in valuation: Cost approach, Market approach, & Income approach.

For any valuation all the approaches may not be relevant and therefore will not give a fair estimate of value. Hence the approach most suitable for specific business/company must be applied in the valuation exercise based on common practices.

The three approaches generally adopted in valuation are as under:

- Market approach: comparable compan method & comparable transaction method.
- Income approach: discounted cash flow method.
- Asset approach: net asset value method.

Market Approach

Under this approach we measure the value of the business of the company by applying the market multiples of listed companies which trade actively and possess attributes similar and comparable with the target company. This methodology is based on the principle that such market pricing takes place between informed buyers and informed sellers while taking into account all the relevant factors.

Not all multiples are applicable to every company. Therefore, the relevant multiple should be chosen carefully and adjusted for differences between the comparables. For the purpose of valuation of HUL we have chosen EV/EBITDA multiple.

Asset Approach

Under this approach the value of the business is derived on the basis of the difference between the value of assets and liabilities. This approach focuses on determining the value of net assets from the perspective of equity valuation. The value of net assets can be determined as follows: Net Assets = Total Assets - Total External Liabilities. The value of net assets is also known as total equity.

Income Approach

Under this approach the value of business is derived by considering: free cash flows future growth and weighted average cost of capital, which signifies risk.

There are four major steps in the income approach:

- Forecasting future cash flows for explicit growth.
- Discounting these cash flows to present value at the rate of return, which depicts the risk in realizing the future cash flows and expected growth.
- Calculation of terminal value of free cash flows post explicit growth period.
- Addition of present value of terminal cash flows and free cash flows during explicit forecast period.

DCF Valuation

In INR Unless Stated Otherwise	FY2025	FY2026	FY2027	FY2028	FY2029	FY2030	FY2031	FY2032	FY2033	FY2034	FY2035
		Explicit Forecast Period					Maturity Period				
Free Cash Flow to Firm											
EBITDA	₹ 14,851	₹ 15,780	₹ 17,335	₹ 19,055	₹ 20,961	₹ 23,074	₹ 25,180	₹ 27,448	₹ 29,779	₹ 32,155	₹ 34,560
Less: Depreciation	(₹ 1,355)	(₹ 1,531)	(₹ 1,704)	(₹ 1,893)	(₹ 2,100)	(₹ 2,324)	(₹ 2,570)	(₹ 2,838)	(₹ 3,128)	(₹ 3,441)	(₹ 3,776)
EBIT	₹ 13,496	₹ 14,250	₹ 15,630	₹ 17,162	₹ 18,862	₹ 20,750	₹ 22,610	₹ 24,610	₹ 26,650	₹ 28,714	₹ 30,783
Less: Tax	(₹ 3,744)	(₹ 4,500)	(₹ 4,907)	(₹ 5,359)	(₹ 5,860)	(₹ 6,417)	(₹ 6,965)	(₹ 7,554)	(₹ 8,155)	(₹ 8,762)	(₹ 9,371)
EBIT(1-T)	₹ 9,752	₹ 9,750	₹ 10,723	₹ 11,803	₹ 13,001	₹ 14,332	₹ 15,645	₹ 17,056	₹ 18,495	₹ 19,951	₹ 21,412
Add: Depreciation	₹ 1,355	₹ 1,531	₹ 1,704	₹ 1,893	₹ 2,100	₹ 2,324	₹ 2,570	₹ 2,838	₹ 3,128	₹ 3,441	₹ 3,776
Less: Reinvestments											
Change in Working Capital	₹ 788	(₹ 3,854)	(₹ 759)	(₹ 417)	(₹ 455)	(₹ 496)	(₹ 602)	(₹ 648)	(₹ 666)	(₹ 679)	(₹ 688)
Capex	(₹ 1,241)	(₹ 1,412)	(₹ 1,536)	(₹ 1,672)	(₹ 1,822)	(₹ 1,986)	(₹ 2,168)	(₹ 2,363)	(₹ 2,563)	(₹ 2,768)	(₹ 2,975)
Intangible Non-Current Spends	(₹ 21)	(₹ 53)	(₹ 755)	(₹ 755)	(₹ 755)	(₹ 755)	(₹ 755)	(₹ 755)	(₹ 755)	(₹ 755)	(₹ 755)
Free Cash Flow to Firm	₹ 10,633	₹ 5,962	₹ 9,378	₹ 10,852	₹ 12,069	₹ 13,419	₹ 14,690	₹ 16,128	₹ 17,639	₹ 19,190	₹ 20,771
Discount Period (Years)		0.5	1.5	2.5	3.5	4.5	5.5	6.5	7.5	8.5	9.5
Discount Rate	Mid-Year Convention? Yes										
Present Value Factor	WACC 11.00%	0.949	0.855	0.770	0.694	0.625	0.563	0.507	0.457	0.412	0.371
Present Value of Free Cash Flow to Firm		₹ 5,659	₹ 8,019	₹ 8,360	₹ 8,376	₹ 8,390	₹ 8,275	₹ 8,184	₹ 8,064	₹ 7,904	₹ 7,707

DCF Calculation- Perpetuity Growth

Perpetuity Growth Rate	6.7%
Teminal Year FCFF x (1+PGR)	₹ 22,158
Terminal Value	**₹ 5,12,798**
Present Value of Terminal Value	₹ 3,20,622
Present Value of FCFFs	₹ 78,938
Enterprise Value	**₹ 3,99,560**
Implied Exit Multiple	11.56x
Implied EV/EBITDA Multiple	26.90x
Less: Debt	(₹ 1,648)
Add: Cash	₹ 7,554
Less: Minority Interest	(₹ 207)
Add: Non-Operating Assets	₹ 909
Equity Value	**₹ 4,06,168**
Less: Value of Options	(₹ 82)
Equity Value for Shareholders	**₹ 4,06,086**
No. of Equity Shareholders	₹ 235
Value per Share	**₹ 1,728**

DCF Calc.- Exit Multiple

Exit Multiple	26.90x
Terminal Year EBITDA	₹ 34,560
Terminal Value	**₹ 9,29,653**
Present Value of Terminal Value	₹ 3,44,947
Present Value of FCFFs	₹ 78,938
Enterprise Value	**₹ 4,23,885**
Implied Exit Multiple	11.56x
Implied EV/EBITDA Multiple	26.90x
Less: Debt	(₹ 1,648)
Add: Cash	₹ 7,554
Less: Minority Interest	(₹ 207)
Add: Non-Operating Assets	₹ 909
Equity Value	**₹ 4,30,493**
Less: Value of Options	(₹ 82)
Equity Value for shareholders	**₹ 4,30,412**
No. of Equity Shareholders	₹ 235
Value per Share	**₹ 1,832**

Terminal Growth Rate \ WACC	8.5%	9%	10%	11%	12%	13%
3%	₹ 3,64,822	₹ 3,35,188	₹ 2,88,250	₹ 2,52,668	₹ 2,24,707	₹ 2,02,119
4%	₹ 4,27,899	₹ 3,86,396	₹ 3,23,677	₹ 2,78,410	₹ 2,44,109	₹ 2,17,165
5%	₹ 5,27,020	₹ 4,63,208	₹ 3,73,274	₹ 3,12,732	₹ 2,69,055	₹ 2,35,973
6%	₹ 7,05,439	₹ 5,91,228	₹ 4,47,670	₹ 3,60,782	₹ 3,02,316	₹ 2,60,155
7%	₹ 11,21,749	₹ 8,47,268	₹ 5,71,662	₹ 4,32,859	₹ 3,48,882	₹ 2,92,398
8%	₹ 32,03,298	₹ 16,15,389	₹ 8,19,648	₹ 5,52,985	₹ 4,18,731	₹ 3,37,537

Exit Multiple \ WACC	8%	9%	10%	11%	12%	13%
28x	₹ 5,63,362	₹ 5,19,993	₹ 4,80,505	₹ 4,44,517	₹ 4,11,688	₹ 3,81,711
29x	₹ 5,79,998	₹ 5,35,234	₹ 4,94,480	₹ 4,57,341	₹ 4,23,464	₹ 3,92,534
30x	₹ 5,96,634	₹ 5,50,475	₹ 5,08,455	₹ 4,70,164	₹ 4,35,240	₹ 4,03,356
31x	₹ 6,13,270	₹ 5,65,717	₹ 5,22,429	₹ 4,82,987	₹ 4,47,016	₹ 4,14,179
32x	₹ 6,29,905	₹ 5,80,958	₹ 5,36,404	₹ 4,95,811	₹ 4,58,792	₹ 4,25,001
33x	₹ 6,46,541	₹ 5,96,199	₹ 5,50,378	₹ 5,08,634	₹ 4,70,568	₹ 4,35,823

Market Price : INR 4,89,349 Cr

Intrinsic Value : INR 4,06,086

WACC : 10%

Terminal Growth: 5%

Relative Valuation

All figures in Rs. Crores unless stated otherwise | Data as of March 2026

Market Data					Financials									Multiples								
					2025A	2026E	2027E	2025A	2026E	2027E	2025A	2026E	2027E	2025A	2026E	2027E	2025A	2026E	2027E	2025A	2026E	2027E
Company	Share Price (Rs.)	Market Cap	Net Debt	Enterprise Value	Sales	Sales	Sales	EBITDA	EBITDA	EBITDA	PAT	PAT	PAT	EV/ Sales	EV/ Sales	EV/ Sales	EV/ EBITDA	EV/ EBITDA	EV/ EBITDA	P/E	P/E	P/E
Hindustan Unilever Ltd.	₹ 2,095	₹ 4,89,349	(₹ 5,906)	₹ 4,83,443	₹ 63,121	₹ 68,611	₹ 74,637	₹ 14,851	₹ 15,780	₹ 17,335	₹ 10,671	₹ 10,500	₹ 11,450	7.7x	7.0x	6.5x	32.6x	30.6x	27.9x	45.9x	46.6x	42.7x
Dabur India Ltd	₹ 430	₹ 76,304	(₹ 2,500)	₹ 73,804	₹ 12,563	₹ 13,600	₹ 14,800	₹ 2,316	₹ 2,720	₹ 3,034	₹ 1,740	₹ 1,970	₹ 2,200	5.9x	5.4x	5.0x	31.9x	27.1x	24.3x	43.9x	38.7x	34.7x
Marico Ltd	₹ 630	₹ 81,400	(₹ 2,800)	₹ 78,600	₹ 10,470	₹ 11,800	₹ 13,100	₹ 2,100	₹ 2,360	₹ 2,686	₹ 1,590	₹ 1,750	₹ 1,980	7.5x	6.7x	6.0x	37.4x	33.3x	29.3x	51.2x	46.5x	41.1x
Godrej Consumer Products	₹ 1,080	₹ 1,10,000	(₹ 1,200)	₹ 1,08,800	₹ 14,820	₹ 16,300	₹ 17,900	₹ 3,200	₹ 3,586	₹ 4,027	₹ 1,950	₹ 2,280	₹ 2,580	7.3x	6.7x	6.1x	34.0x	30.3x	27.0x	56.4x	48.2x	42.6x
Tata Consumer Products	₹ 960	₹ 89,000	₹ 1,800	₹ 90,800	₹ 16,500	₹ 18,200	₹ 20,500	₹ 2,480	₹ 2,912	₹ 3,362	₹ 1,350	₹ 1,620	₹ 1,900	5.5x	5.0x	4.4x	36.6x	31.2x	27.0x	65.9x	54.9x	46.8x
Nestle India Ltd	₹ 2,200	₹ 2,12,000	(₹ 3,500)	₹ 2,08,500	₹ 20,025	₹ 22,200	₹ 24,600	₹ 4,800	₹ 5,328	₹ 5,904	₹ 3,100	₹ 3,450	₹ 3,850	10.4x	9.4x	8.5x	43.4x	39.1x	35.3x	68.4x	61.4x	55.1x
Britannia Industries	₹ 4,900	₹ 1,18,000	(₹ 3,200)	₹ 1,14,800	₹ 17,100	₹ 19,200	₹ 21,300	₹ 3,250	₹ 3,648	₹ 4,047	₹ 2,200	₹ 2,500	₹ 2,800	6.7x	6.0x	5.4x	35.3x	31.5x	28.4x	53.6x	47.2x	42.1x
High	**₹ 4,900**	**₹ 4,89,349**	**₹ 1,800**	**₹ 4,83,443**	**₹ 63,121**	**₹ 68,611**	**₹ 74,637**	**₹ 14,851**	**₹ 15,780**	**₹ 17,335**	**₹ 10,671**	**₹ 10,500**	**₹ 11,450**	**10.4x**	**9.4x**	**8.5x**	**43.4x**	**39.1x**	**35.3x**	**68.4x**	**61.4x**	**55.1x**
75th Percentile	**₹ 2,148**	**₹ 1,65,000**	**(₹ 1,850)**	**₹ 1,61,650**	**₹ 18,563**	**₹ 20,700**	**₹ 22,950**	**₹ 4,025**	**₹ 4,488**	**₹ 4,976**	**₹ 2,650**	**₹ 2,975**	**₹ 3,325**	**7.6x**	**6.9x**	**6.3x**	**37.0x**	**32.4x**	**28.9x**	**61.2x**	**51.6x**	**44.8x**
Mean	**₹ 1,756**	**₹ 1,68,008**	**(₹ 2,472)**	**₹ 1,65,535**	**₹ 22,086**	**₹ 24,273**	**₹ 26,691**	**₹ 4,714**	**₹ 5,191**	**₹ 5,771**	**₹ 3,229**	**₹ 3,439**	**₹ 3,823**	**7.3x**	**6.6x**	**6.0x**	**35.9x**	**31.9x**	**28.5x**	**55.0x**	**49.1x**	**43.6x**
Median	**₹ 1,080**	**₹ 1,10,000**	**(₹ 2,800)**	**₹ 1,08,800**	**₹ 16,500**	**₹ 18,200**	**₹ 20,500**	**₹ 3,200**	**₹ 3,586**	**₹ 4,027**	**₹ 1,950**	**₹ 2,280**	**₹ 2,580**	**7.3x**	**6.7x**	**6.0x**	**35.3x**	**31.2x**	**27.9x**	**53.6x**	**47.2x**	**42.6x**
25th Percentile	**₹ 795**	**₹ 85,200**	**(₹ 3,350)**	**₹ 84,700**	**₹ 13,692**	**₹ 14,950**	**₹ 16,350**	**₹ 2,398**	**₹ 2,816**	**₹ 3,198**	**₹ 1,665**	**₹ 1,860**	**₹ 2,090**	**6.3x**	**5.7x**	**5.2x**	**33.3x**	**30.5x**	**27.0x**	**48.5x**	**46.6x**	**41.6x**
Low	**₹ 430**	**₹ 76,304**	**(₹ 5,906)**	**₹ 73,804**	**₹ 10,470**	**₹ 11,800**	**₹ 13,100**	**₹ 2,100**	**₹ 2,360**	**₹ 2,686**	**₹ 1,350**	**₹ 1,620**	**₹ 1,900**	**5.5x**	**5.0x**	**4.4x**	**31.9x**	**27.1x**	**24.3x**	**43.9x**	**38.7x**	**34.7x**

Relative Valuation - EV/Sales	
Sales	₹ 63,121
EBITDA	₹ 14,851
Earnings	₹ 10,671
Valuation Multiple	EV/ Sales
EV/ Sales	7.3x
Enterprise Value	**₹ 4,60,783**
Less: Debt	(₹ 1,648)
Add: Cash	₹ 7,554
Less: Minority Interest	(₹ 207)
Add: Non-Operating Assets	₹ 909
Equity Value	**₹ 4,67,391**
Less: Value of Options	(₹ 82)
Equity Value for Shareholders	**₹ 4,67,310**
No. of Equity Shareholders	₹ 235
Value per Share	**₹ 1,989**

Relative Valuation - EV/EBITDA	
Sales	₹ 63,121
EBITDA	₹ 14,851
Earnings	₹ 10,671
Valuation Multiple	EV/ EBITDA
EV/ EBITDA	35.3x
Enterprise Value	**₹ 5,24,240**
Less: Debt	(₹ 1,648)
Add: Cash	₹ 7,554
Less: Minority Interest	(₹ 207)
Add: Non-Operating Assets	₹ 909
Equity Value	**₹ 5,30,848**
Less: Value of Options	(₹ 82)
Equity Value for Shareholders	**₹ 5,30,767**
No. of Equity Shareholders	₹ 235
Value per Share	**₹ 2,259**

Relative Valuation – P/E	
Sales	₹ 63,121
EBITDA	₹ 14,851
Earnings	₹ 10,671
Valuation Multiple	P/E
P/E	53.6x
Enterprise Value	**₹ 5,71,966**
Less: Debt	(₹ 1,648)
Add: Cash	₹ 7,554
Less: Minority Interest	(₹ 207)
Add: Non-Operating Assets	₹ 909
Equity Value	**₹ 5,78,574**
Less: Value of Options	(₹ 82)
Equity Value for Shareholders	**₹ 5,78,492**
No. of Equity Shareholders	₹ 235
Value per Share	**₹ 2,462**

WACC Calculation

Particulars	Low	Mid	High
Risk Free Rate	6.68%	6.68%	6.68%
Equity Risk Premium	6.25%	6.25%	6.25%
Asset Beta	0.67	0.68	0.69
D/E Ratio	3.32%	3.32%	3.32%
Equity Beta	0.69	0.70	0.71
CAPM Cost of Equity	**10.96%**	**11.03%**	**11.09%**
Small Size Premium	0.00%	0.00%	0.00%
Asset Specific Premium	0.00%	0.00%	0.00%
Modified Cost of Equity	**10.96%**	**11.03%**	**11.09%**
Pre Tax Cost of Debt	7.08%	7.08%	7.08%
Marginal Tax Rate	30.00%	30.00%	30.00%
Post Tax Cost of Debt	**4.96%**	**4.96%**	**4.96%**
Capital Gearing (D/D+E)	3.21%	3.21%	3.21%
Weighted Average Cost of Capital	10.77%	10.83%	10.89%
WACC (Rounded)	**11.00%**	**11.00%**	**11.00%**

1. Tax rate considered as Marginal Tax rate of India.
2. Asset Beta is considered as median of 5 years of beta of comps adjusted for blume effect.
*3. Equity Beta = Asset Beta * (1+(1- Tax rate%)*Debt/Equity)*

Risk Free rate

We have considered 6.68% as the risk-free rate in estimation of cost of equity of 11%. The risk-free rate of India is calculated by considering local currency 10-year government bond yield adjusted for default spread of India.

Asset Beta

We have estimated an asset beta of 0.67 to 0.69, with a midpoint of 0.68, based on the observed median of the five-year monthly asset beta of benchmark listed companies, adjusted for the blume effect.

Equity Risk Premium

An ERP of 6.25% has been adopted based on U.S. implied equity risk premium, relative equity volatility of ICE BofA Public Sector Issues Emerging Markets Index, S&P Emerging BMI Index, and Country Risk Premium of India.

Cost of Debt

For the purpose of assessing the cost of debt we have used the country's risk-free rate, the country's default spread, and the corporate default spread based on the company's debt rating and interest coverage ratio.

Small sized premium

Empirically small-sized assets have exceeded the returns as compared to large-sized assets. We have used the study on size premium conducted by INCWORT, which is based on the difference between actual returns and CAPM expected returns, arranged on a decile basis by market capitalization of Indian companies.

Asset specific premium

As per Professor Aswath Damodaran, asset-specific premium is the execution risk that the company faces if they do not achieve the targets as they have planned to. Since HUL is the market leader and has been historically in delivering on their targets and the guidance that they have provided, we have assumed that there is no asset-specific risk involved in this business.

Beta Analysis

Beta Analysis 2 Year Weekly

30%

Comparable Companies	Ticker	No.of Weekly Observations	Market Cap	Asset Beta	2Year Average D/E	Equity Beta	2 Years Avg D/D+E	Considered	Narrow Set
ITC Ltd.	ITC.NS	104	3,77,942	0.62	0.1%	0.62	0.1%	N	FALSE
Nestlé India Ltd.	NESTLEIND.NS	104	2,32,002	0.40	19.5%	0.45	16.3%	N	FALSE
Britannia Industries Ltd.	BRITANNIA.NS	104	1,53,600	0.50	51.0%	0.68	33.8%	N	FALSE
Dabur India Ltd.	DABUR.NS	104	91,500	0.53	4.5%	0.55	4.3%	Y	TRUE
Godrej Consumer Products Ltd.	GODREJCP.NS	104	1,19,800	0.67	24.0%	0.78	19.4%	Y	TRUE
Marico Ltd.	MARICO.NS	104	85,200	0.51	1.5%	0.52	1.5%	Y	TRUE
Colgate-Palmolive (India) Ltd.	COLPAL.NS	104	67,500	0.46	7.5%	0.48	7.0%	N	FALSE
Tata Consumer Products Ltd.	TATACONSUM.NS	104	1,13,500	0.65	15.0%	0.72	13.0%	Y	TRUE
Emami Ltd.	EMAMILTD.NS	104	24,300	0.64	2.5%	0.65	2.4%	N	FALSE
P&G Hygiene & Health Care Ltd.	PGHH.NS	104	47,800	0.38	1.5%	0.38	1.5%	N	FALSE
Median - Broad Set				**0.52**	**6.0%**	**0.59**	**5.6%**		
Average- Broad Set				0.54	12.7%	0.58	9.9%		
Median - Narrow Set				**0.59**	9.8%	0.64	8.7%		
Average- Narrow Set				0.59	11.3%	0.64	9.5%		

Beta Analysis 5 Year Monthly

30%

Comparable Companies	Ticker	No.of Weekly Observations	Market Cap	Asset Beta	5 Year Average D/E	Equity Beta	5 Years Avg D/D+E	Considered	Narrow Set
Dabur India Ltd.	DABUR.NS	104	91,500	0.53	5.0%	0.55	4.3%	Y	TRUE
Godrej Consumer Products Ltd.	GODREJCP.NS	104	1,19,800	0.65	28.0%	0.78	19.4%	Y	TRUE
Marico Ltd.	MARICO.NS	104	85,200	0.51	2.0%	0.52	1.5%	Y	TRUE
Tata Consumer Products Ltd.	TATACONSUM.NS	104	1,13,500	0.64	18.0%	0.72	13.0%	Y	TRUE
Median - Narrow Set				**0.59**	11.5%	0.64	8.7%		
Average- Narrow Set				0.58	13.3%	0.64	9.5%		

Blume Beta Analysis 5 Year Monthly

2/3* Beta + 1/3* Market Beta

30%

Comparable Companies	Ticker	No.of Weekly Observations	Market Cap	Asset Beta	5 Year Average D/E	Equity Beta	5 Years Avg D/D+E	Considered	Narrow Set
Dabur India Ltd.	DABUR.NS	104	91,500	0.66	5.0%	0.68	4.3%	Y	TRUE
Godrej Consumer Products Ltd.	GODREJCP.NS	104	1,19,800	0.69	28.0%	0.83	19.4%	Y	TRUE
Marico Ltd.	MARICO.NS	104	85,200	0.65	2.0%	0.66	1.5%	Y	TRUE
Tata Consumer Products Ltd.	TATACONSUM.NS	104	1,13,500	0.70	18.0%	0.79	13.0%	Y	TRUE
Median - Narrow Set				**0.67**	11.5%	0.74	8.7%		
Average- Narrow Set				0.68	13.3%	0.74	9.5%		

Management Commentary – Concall Insights

Q3 FY26 (Dec 2025) — Feb 12, 2026

USG at 5%, UVG at 4% (highest in 12 quarters). Revenue growth 6% to INR 16,580 Cr. EBITDA margin at 23.3%. Ice Cream demerger concluded (KWIL listed Feb 16). Acquired remaining 49% of OZiva; divested Nutritionalab stake for INR 307 Cr. Q-Commerce doubling every quarter at ~3% of sales; dedicated Q-Commerce organisation established with availability up 1,400 bps. Guided FY27 top line will be better than FY26; H2 FY26 better than H1.

Q2 FY26 (Sep 2025) — Oct 23, 2025

Revenue INR 15,418 Cr (flat YoY), UVG flat due to GST 2.0 transition (affected 40% of portfolio). EBITDA margin 22.9%. Net profit up 3.6% aided by one-time UK-India tax resolution (INR 184 Cr). GST rate cuts caused channel destocking in Sep-Oct; management expects normalisation from Nov onwards. Interim dividend of INR 19/share declared. Materials cost rose to INR 5,211 Cr from INR 4,598 Cr (palm oil, tea inflation).

Q1 FY26 (Jun 2025) — Jul 31, 2025

Revenue growth 2%, UVG at 4%. EBITDA at 23.8%. E-commerce growth continued at 3x modern trade. New CEO Priya Nair outlined ASPIRE strategy with four priorities: deeper consumer segmentation, SASSY brand building, future-proofing the sales engine, and fewer bigger bets. Minimalist skincare acquisition expanding into new toner/serum offerings. Continued focus on premiumisation with TRESemme Hydra Matrix launch.

Key Analyst Concerns (Across FY26 Concalls)

Management still refuses to disclose discrete channel margins for Q-Commerce vs GT vs MT. No concrete timeline for Stratos soap technology translating to positive volume growth. GT inventory recalibration questions deflected with 'healthy/in line with historical norms.' F&R and Skin Cleansing underperformance not adequately addressed. Creditor days extension and rising receivables not proactively discussed. Small player market share gains in mass/value segments acknowledged but no clear counter-strategy beyond premiumisation.

Sources, Acknowledgement & Disclaimer

Sources

- Investing.com
- Damodaran
- World Bank
- IMF
- Annual Report & Concalls
- Go India Stocks
- Trading Economics
- Screener.in

Acknowledgement

Report Prepared By : Suyash Mandhana

I would like to express my sincere gratitude to **CA Parth Varma**, whose guidance and mentorship throughout the valuation course made the preparation of this report possible. His insights, structured approach to valuation, and continuous encouragement were invaluable in helping me understand the practical application of financial analysis and valuation techniques. I am deeply thankful for his support and for the knowledge he shared during the course, which played a crucial role in shaping this final valuation report.

I would also like to acknowledge the contribution of various publicly available resources that supported the development of this analysis. Company annual reports, investor presentations, earnings call transcripts, industry publications, and financial databases provided essential information that helped build a comprehensive understanding of Hindustan Unilever Limited, its industry dynamics, and financial performance.

Finally, I would like to thank the platforms and analytical tools that facilitated the collection and interpretation of financial data used in this report. Any errors, omissions, or interpretations contained in this analysis remain solely my responsibility.

Disclaimer

This report has been prepared **solely for educational purposes** and should not be considered investment, financial, or business advice. The analysis is based on publicly available information and the author's own assumptions and interpretations. Readers should conduct their own research and consult qualified professionals before making any financial decisions. The author shall not be held liable for any losses arising from the use of this report. For queries or feedback, you may reach out at **suyashymandhana@gmail.com**.